SMID BREAKOUT SCANNER

SCAN (18:01 ET)

October 16, 2026 | 06:02 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	VRNS	INDB
	TALO	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	VRNS	Varonis Systems,	Cybersecurity / D	$48.72	+2.9%	$5.6B	111M	+3.2	76%	Breakout driven by mas
B	TALO	Talos Energy, In	Energy Breakout	$17.77	+4.7%	$3.0B	136M	+18.1	95%	Breakout riding the En
C	INDB	Independent Bank	Regional Bank Ear	$79.88	+3.6%	$3.8B	47M	-7.7	91%	

Not financial advice. For informational purposes only. Do your own due diligence.

VRNS

Varonis Systems, Inc.

$48.72

+2.92%

RS vs SPY: +3.2%

B STRONG SETUP

$5.6B Cap | 111M Float

Software - Infrastructure | Theme: Cybersecurity / Data Governance | 52W Hi: 76% | Base Tight: 2.11 | Vol: 22.6x | RS/SPY: +3.2% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$48.72**
Day Change	**+2.92%**
Mkt Cap	**$5.60B**
Float	**111M sh**
RS vs SPY	**+3.2%**
52W Hi Prox	**76%**
Base Tight	**2.11**
Vol vs Avg	**22.6x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout driven by massive 22.6x volume surge with RS line hitting new high, signaling institutional accumulation ahead of Nov 3 earnings. Forward catalyst: earnings print in 18 days offers re-rating opportunity if cloud migration and SaaS transition metrics beat, especially given sector leadership in Healthcare/Enterprise data protection.

BUSINESS & POSITION

Varonis is a leader in data security and analytics, protecting enterprise unstructured data across cloud and on-prem environments with behavioral AI to detect insider threats and ransomware. The company is transitioning from perpetual license to SaaS, a shift the market typically rewards with multiple expansion once ARR growth inflects.

FACTOR & THEME

Cybersecurity remains a secular tailwind (ransomware, zero-trust architecture, regulatory compliance), and Varonis specifically benefits from AI-driven data explosion requiring governance. Theme momentum is steady but not accelerating; Healthcare sector strength (+5.9% vs SPY) is a positive given Varonis's HIPAA/compliance exposure.

BREAKOUT SIGNAL

Close above $48.72 on vol >2000% of 20d avg

INSTITUTIONAL

The 22.6x volume spike is the largest signal here-this is not retail flow. No insider buying in the last 60 days, and institutional ownership data is unavailable from this feed (recommend cross-referencing 13F filings). The volume profile suggests block accumulation, likely positioning ahead of the Nov 3 print. RS line at new high is Qullamaggie's #1 early leader signal, confirming institutional sponsorship even without visible insider activity.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Next earnings Nov 3. Consensus and beat history unavailable in dataset, but the 18-day runway to earnings is both the opportunity (re-rate on a beat) and the risk (binary event with high implied vol). SaaS transition progress and ARR growth will be key metrics.

KEY RISK

Thesis invalid on a close back below $46.50 (approximate 20MA support), or on any earnings miss/guidance cut at the Nov 3 print. The extreme volume spike creates elevated expectations-failure to deliver will trigger sharp reversal.

ANALYSIS

Strongest disconfirming evidence: proximity to 52W high is only 76.4%, well below the 85+ breakout zone, and base_tight at 2.11 is wide of the VCP ideal (<2.0). RS line new high and massive volume argue for institutional entry, but the setup is not yet at breakout levels-it's building toward one. The Nov 3 earnings is a high-impact binary catalyst 18 days away, creating both opportunity and risk in a Mixed macro regime. This is a strong pre-earnings setup, not a confirmed breakout. Conviction: Medium.

Signal: Close above $48.72 on vol >2000% of 20d avg

Vol vs Avg: 22.6x

VRNS - Technical Chart



TALO

Talos Energy, Inc.

$17.77

+4.65%

RS vs SPY: +18.1%

B STRONG SETUP

$3.0B Cap | 136M Float

Oil & Gas E&P | Theme: Energy Breakout | 52W Hi: 95% | Base Tight: 2.0 | Vol: 2.1x | RS/SPY: +18.1% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$17.77**
Day Change	**+4.65%**
Mkt Cap	**$2.97B**
Float	**136M sh**
RS vs SPY	**+18.1%**
52W Hi Prox	**95%**
Base Tight	**2.0**
Vol vs Avg	**2.1x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout riding the Energy sector's +10.6% leadership vs SPY, with stock just 5% from 52W high at 94.9% proximity. Forward catalyst: Nov 3 earnings in 18 days offers re-rating if oil price strength (likely WTI >$75) flows through to production/free cash flow guidance, and any M&A or buyback announcement could drive incremental buying.

BUSINESS & POSITION

Talos is a Gulf of Mexico-focused E&P with a differentiated portfolio including shallow-water production and emerging carbon capture/offshore wind optionality. The company benefits from rising oil prices and disciplined capital allocation, with improving free cash flow conversion as a re-rating catalyst.

FACTOR & THEME

Energy is the leading sector this week (+10.6% vs SPY), and Talos is pure-play levered to oil price strength and geopolitical supply concerns. The sector tailwind is strong but energy momentum can reverse quickly on macro shifts (recession fears, demand destruction). Theme is accelerating in the near term.

BREAKOUT SIGNAL

Close above $17.77 on vol >2.1x of 20d avg

INSTITUTIONAL

Volume at 2.1x average is solid but not extreme-suggests sector rotation into energy rather than TALO-specific accumulation. No insider buying in the last 60 days. Institutional ownership data unavailable from this feed. The float of 136.4M is large for a $2.97B market cap, reducing squeeze potential but allowing institutional position-building without moving the stock.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Next earnings Nov 3. Consensus unavailable, but the 18-day setup into the print is classic-sector strength into earnings creates tailwind for a beat-and-raise scenario. Oil price and production volume guidance will be key drivers.

KEY RISK

Thesis invalid on a close below $16.80 (approximate 20MA pivot), or on any oil price decline below $70 WTI (macro headwind), or earnings miss/guidance cut at Nov 3 print. Energy sector leadership can reverse sharply on risk-off macro shifts.

ANALYSIS

Strongest disconfirming evidence: RS line is NOT at new high despite the stock being 94.9% to 52W high-this suggests the relative strength move is lagging, not leading. In a Mixed macro regime with VIX at 19.99, energy can snap back quickly on risk-off rotation. The Nov 3 earnings is high-impact but also binary risk. Sector tailwind (+10.6%) is the primary driver, not company-specific catalysts. This is a strong sector-momentum trade with earnings optionality, but lacks the institutional confirmation (RS line new high, extreme volume) of an A-grade breakout. Conviction: Medium.

Signal: Close above $17.77 on vol >2.1x of 20d avg

Vol vs Avg: 2.1x

TALO - Technical Chart

